MYTH #8

YOUR MONEY IS LOCKED UP

Investing is suitable for the long term is a phrase you'd often have heard. But that doesn't mean the money you invest is locked in for 20 years or more. Structurally, stocks and MFs are liquid, which means you can exit as and when you need to.

The longer you stay invested, the greater are the chances of smoothing out the bumps in market performance and making positive returns. Though you can take out your money at any time, do so only when it is necessary or when you are approaching the financial goal towards which you have invested. The pitfall of withdrawing your investments early could impact the potential returns you are likely to make. Remember, buy low and sell high is the mantra for making money in equities. ■



Illustration by SIDDHANT JUMDE

MYTH #9

GOLD AND REAL ESTATE ARE THE BEST PLACES TO INVEST

No asset class stays at the top forever. There may be some years when gold is at the top and some when it is nowhere in the reckoning. Time was when gold had value and was something that many currencies were pegged to, but that is no more the case. Moreover, gold and real estate tend to rally in prosperous times when there is easy credit and a flush of buyers.

There is an element of tangibility with both these asset classes that makes several investors fancy them. However, this alone is not sufficient reason for one to invest only in them. An ideal diversification strategy is to spread investments across asset classes and tactically make changes to benefit from short-term gains in them. In the long run, equities have consistently performed well, unlike other asset classes. ■

MYTH #10

IT IS EASY TO MAKE MONEY IN THE MARKETS

There is no such thing as a free lunch. One always hears about cases where someone has made a quick buck in the markets and it may be true. There are always get-rich-quick schemes and investment options. If cryptocurrencies and NFTs are the flavour these days, it is IPOs in another market and small cap stocks at a different time. Remember, none of these overnight rich investments end up well for most people.

However, markets do reward long-term investors. Stay invested with an investment time-frame that suits your needs. A good investment is one that is boring, one where you put money away now and have more at a later date.

Volatility is an investment term that impacts the price of a stock or the market index. Volatility is caused by several economic and political factors, from news affecting a particular industry sector to government policy changes and political tensions or upheavals. Investors should not mistake volatility to be only market falls; it can also be sudden spurts in the market. In a volatile market, prices aren't an accurate reflection of real worth. Volatility is not only inevitable, it is also healthy for the market, and every long-term investor will experience it from time to time. When investing in markets, it would be wise to get comfortable with the idea of seeing market changes.

Likewise, it is critical to note that markets tend to overreact to unfavourable news events before they factor in the impact of the development. In the short term, stock markets can swing wildly, and enthusiastic investors may land up buying at a high and selling at a low. However, smart investors remain calm when others are fearful and succeed in avoiding losses or limiting them. You can become a smart investor by viewing the stock markets through a broad lens and understanding where you stand and what you wish to achieve from your investments.

Investing is not just about buying and selling, it is also about knowing when to hold and for how long

The most important aspect about any investment journey is to remain focused on long-term goals, and not be distracted by the noise around unsubstantiated market myths. Those can be managed with a little bit of planning and a level head. ■